

Contents

1	Big picture	2
2	Data and measurement	2
2.1	Why China's partial privatization is the right laboratory	2
2.2	Sample construction	2
2.3	Political-connection measure	3
2.4	Performance measures	3
2.5	Board and governance measures	3
2.6	Controls	3
3	Models and empirical specifications	4
3.1	Main economic mechanism	4
3.2	Long-run stock-performance regression	4
3.3	Accounting-performance regression	4
3.4	Stratified robustness design	4
3.5	Types of political connections	4
3.6	Short-term CAR regression	5
3.7	IPO initial-return regression	5
3.8	Board-structure regressions	5
4	Identification and empirical design	5
4.1	What identifies the main effect	5
4.2	Why CEO political ties proxy government intervention	5
4.3	Main endogeneity concerns	6
4.4	Robustness logic	6
4.5	What the paper cannot fully prove	6
5	Tables and figures	6
5.1	Table 1 and Figures 1–2: sample structure and long-run CAR patterns	6
5.2	Tables 2–4: long-run stock and accounting performance	7
5.3	Tables 5–6: robustness and types of political connections	9
5.4	Figures 3–4 and Table 7: short-term post-IPO returns	10
5.5	Tables 8–9: IPO initial returns	11
5.6	Tables 10–11: board structure and CEO political connections	12
6	Short summary	13
7	Conclusion	13
7.1	Core conclusion	13
7.2	Economic intuition	13
7.3	Takeaway	14

1 Big picture

- **Question.** Does government intervention through politically connected chief executives reduce the performance and governance quality of newly partially privatized firms in China?
- **Setting.** The paper studies 790 Chinese A-share IPO firms from 1993–2001, representing about 73% of the Chinese IPO population during the period.
- **Core treatment variable.** A CEO is politically connected if the CEO is a current or former officer of the central government, local government, or military.
- **Institutional motivation.** Chinese share issue privatization did not usually transfer control away from the state. State shares were largely non-transferable, and the government retained the right to appoint CEOs.
- **Main descriptive fact.** About 27% of sample firms appointed politically connected CEOs. Political connections are most common in natural resources and public utilities.
- **Long-run stock performance.** Firms with politically connected CEOs underperform politically unconnected firms by about 7% after one year, 10% after two years, and 15% after three years in controlled CAR regressions.
- **Accounting performance.** Politically connected CEO firms have weaker post-IPO changes in return on sales, sales growth, and earnings growth.
- **Short-run stock market learning.** The stock market begins to distinguish politically connected firms soon after listing: the gap is visible around days 13–14 and reaches about 4.4% by day 60.
- **IPO pricing.** Politically connected CEO firms have lower first-day returns, suggesting investors discount these firms at the offer/listing stage.
- **Board governance.** Politically connected CEOs are associated with boards that contain more bureaucrats and fewer professional directors.
- **Economic takeaway.** In weak-property-rights privatization, retaining state control through CEO appointment rights can undermine shareholder-value maximization. Partial privatization alone is not enough if political control remains.

2 Data and measurement

2.1 Why China's partial privatization is the right laboratory

- China in the 1990s partially privatized SOEs through primary share offerings, but generally prohibited the government from selling its controlling stake.
- The stock market introduced tradable minority shares while the state retained non-tradable ownership blocks and key decision rights.
- The government retained ultimate rights over CEO appointment, mergers and acquisitions, disposal of shares, and major asset decisions.
- This creates a sharp setting for testing whether residual state control and bureaucratic intervention impair performance after IPO.

Interpretation. If privatization improves incentives only when control rights are genuinely transferred, Chinese partial privatization should display weak post-IPO performance when state intervention remains strong.

2.2 Sample construction

- The authors manually collect CEO and board data from IPO prospectuses of A-share companies listed on the Shanghai and Shenzhen stock exchanges from 1993 to 2001.
- The CEO/director profiles contain age, gender, education, professional background, employment history, and political affiliation.

- The final sample includes 790 IPO firms and 7,255 CEOs/directors.
- Ownership data come from Shenzhen Genius Information Technology; returns and financial data come from CSMAR; regional economic data come from China Economic Information Network.

Interpretation. The paper's main data contribution is the hand-coded CEO and board biographies, which allow political connections and professionalism to be measured at the person level.

2.3 Political-connection measure

$$PC_i = \begin{cases} 1, & \text{if CEO } i \text{ is a current/former government or military officer,} \\ 0, & \text{otherwise.} \end{cases}$$

- Political connection is used as a proxy for government intervention in the firm.
- The measure covers current or former officers of central government, local government, and the military.
- The paper also separates links into central government, local government in the same region, and local government outside the firm's region.

Interpretation. Because the Chinese government could appoint listed-firm CEOs, CEO biography is not just a personal characteristic. It is a plausible signal of continuing political control.

2.4 Performance measures

The stock-performance measures are one-, two-, and three-year post-IPO cumulative market-adjusted returns:

$$CAR_{i,T} = \prod_{m=1}^T (1 + R_{i,m}) - \prod_{m=1}^T (1 + R_{M,m}), \quad T \in \{12, 24, 36\}.$$

- Returns start one month after the IPO month.
- The market benchmark is the equally weighted index of common stocks on the Shanghai and Shenzhen exchanges.
- Accounting outcomes are change in return on sales (ROS), sales growth, and earnings growth from the three years before the IPO to the three years after the IPO.
- The IPO year is omitted from accounting comparisons because IPO-year accounting is likely manipulated.

Interpretation. The combination of stock and accounting measures helps separate investor valuation effects from real operating deterioration.

2.5 Board and governance measures

The board variables capture bureaucratic influence and professionalism:

- number or percentage of current/former government bureaucrats on the board;
- number of senior managers;
- number or percentage of professional directors;
- professional backgrounds in unaffiliated business, accounting/law/finance, or academia;
- average education level, average age, and female director count.

Interpretation. The board tests ask whether politically connected CEOs are surrounded by professional monitors or by political allies.

2.6 Controls

The main performance regressions control for:

- largest shareholder ownership percentage;
- market-to-book equity ratio;

- leverage, measured as total debt over sales;
- log total assets;
- regulated-industry dummy for natural resources, public utilities, finance, and real estate.

Interpretation. These controls address differences in firm size, valuation, financial structure, ownership concentration, and regulated-sector exposure.

3 Models and empirical specifications

3.1 Main economic mechanism

The paper's economic mechanism can be summarized as

State appointment power $\Rightarrow PC_i = 1$

$\Rightarrow$ bureaucratic objectives and rent extraction $\Rightarrow$ weaker governance and lower post-IPO value.

Interpretation. The mechanism is close to the “grabbing hand” view: bureaucrats may pursue social, political, or private objectives that conflict with shareholder-value maximization.

3.2 Long-run stock-performance regression

For post-IPO stock performance, the core specification is

$$CAR_{i,T} = \alpha + \beta PC_i + \Gamma' X_i + \varepsilon_i, \quad T \in \{12, 24, 36\}.$$

Here X_i contains largest shareholder ownership, market-to-book, leverage, log assets, and the regulated-industry dummy.

Interpretation. The coefficient β measures whether politically connected CEOs are associated with lower market-adjusted stock performance after controlling for other IPO-year firm characteristics. In the paper's sign convention, the reported coefficient is negative: politically connected CEO firms perform worse.

3.3 Accounting-performance regression

For accounting outcomes, the specification is

$$Y_i = \alpha + \beta PC_i + \Gamma' X_i + \varepsilon_i,$$

where Y_i is change in ROS, sales growth, or earnings growth.

Interpretation. The accounting regressions ask whether the stock-market underperformance reflects real operating deterioration rather than only investor sentiment.

3.4 Stratified robustness design

To address endogeneity concerns, the paper re-estimates the three-year CAR regression after splitting the sample by pre-IPO and regional conditions:

$$CAR_{i,36} = \alpha_s + \beta_s PC_i + \Gamma'_s X_i + \varepsilon_i,$$

for subsamples s split by GDP per capita, fiscal deficit, unemployment, and pre-IPO ROS.

Interpretation. If the result only reflected poor local institutions or weak pre-IPO firms, the political-connection coefficient might appear only in one subset. The paper finds negative coefficients across all splits.

3.5 Types of political connections

The paper replaces PC_i with three separate indicators:

$$CAR_{i,T} = \alpha + \beta_1 PC_i^{local,same} + \beta_2 PC_i^{central} + \beta_3 PC_i^{local,diff} + \Gamma' X_i + \varepsilon_i.$$

Interpretation. This test asks whether the performance effect is concentrated in the most relevant forms of political influence. Same-region local and central government connections are the most robustly negative.

3.6 Short-term CAR regression

The short-run specification uses cumulative abnormal returns over 20, 40, and 60 trading days after the IPO:

$$CAR_{i,h}^{day} = \alpha + \beta PC_i + \Gamma' X_i + \varepsilon_i, \quad h \in \{20, 40, 60\}.$$

Interpretation. The coefficient becomes significant by 40–60 days, which means the stock market learns or impounds political-control information soon after listing.

3.7 IPO initial-return regression

IPO first-day return is

$$IR_i = \frac{P_{i,1}^{close} - P_i^{offer}}{P_i^{offer}}.$$

The regression is

$$IR_i = \alpha + \beta PC_i + \gamma_1 \log(\text{days between offer and listing}) + \gamma_2 \text{largest owner}_i \\ + \gamma_3 \text{Shanghai}_i + \gamma_4 \log(\text{shares issued}_i) + \eta_{industry} + \eta_{year} + \varepsilon_i.$$

Interpretation. Lower initial returns for politically connected CEO firms are consistent with investors discounting expected government intervention or with politically unconnected firms using underpricing as a signal of future non-intervention.

3.8 Board-structure regressions

For count board variables, the paper estimates Poisson models:

$$E[\text{BoardVar}_i | PC_i, X_i] = \exp(\alpha + \beta PC_i + \Gamma' X_i).$$

Interpretation. A positive β for bureaucrat directors and a negative β for professional directors indicates that politically connected CEOs are accompanied by more political allies and fewer professional monitors.

4 Identification and empirical design

4.1 What identifies the main effect

- The main variation is cross-sectional: firms with politically connected CEOs are compared with firms without politically connected CEOs.
- Identification comes from controlling for observed firm characteristics and checking whether the association survives multiple cuts of the data.
- The paper combines stock performance, accounting performance, IPO initial returns, and board composition to build a coherent picture.

Interpretation. The strongest evidence is the joint pattern: politically connected CEOs are associated with lower long-run returns, weaker accounting outcomes, earlier stock-market discounts, and less professional boards.

4.2 Why CEO political ties proxy government intervention

- The Chinese government had the right to appoint CEOs of newly listed firms.
- A politically connected CEO is therefore likely to reflect direct continuing state influence, not merely personal networking.

- The paper's type-of-connection tests show that central and same-region government ties are especially important.

Interpretation. In this setting, CEO political identity is a control-right variable.

4.3 Main endogeneity concerns

- Poor regions might both appoint bureaucrats and have poorly performing firms.
- Poor firms might recruit politically connected CEOs to facilitate listing.
- Regulated industries might both use political CEOs and have different return dynamics.
- Political connections are not randomly assigned.

Interpretation. The paper cannot fully eliminate selection. Its credibility comes from robustness across local conditions, firm ROS, industry controls, and distinct outcome variables.

4.4 Robustness logic

- Stratified regressions show the three-year CAR effect in high and low GDP regions, high and low fiscal-deficit regions, high and low unemployment regions, and high and low pre-IPO ROS firms.
- The accounting-performance results persist when using operating earnings instead of net earnings.
- The short-run return evidence shows that the market begins to price the effect soon after IPO.
- Board regressions show an institutional channel: political CEOs are associated with bureaucratic, less professional boards.

Interpretation. These tests make it less likely that the result is a single omitted-variable artifact.

4.5 What the paper cannot fully prove

- It is not a randomized experiment.
- Political connections may proxy for unobserved firm attributes.
- The paper cannot directly observe rent extraction, social objectives, or private political benefits.
- The evidence is from one country and one historical privatization regime.

Interpretation. The paper is best read as strong evidence that China's form of partial privatization, with continuing political control, was associated with weaker performance and governance.

5 Tables and figures

5.1 Table 1 and Figures 1–2: sample structure and long-run CAR patterns

Read:

- The sample contains 790 IPO firms; 211, or 26.71%, have politically connected CEOs.
- Natural resources has the highest politically connected CEO share at 39.58%; finance and real estate has the lowest at 5.56%.
- The full sample's mean CAR declines by almost 17% over the three years after IPO.
- The politically connected group falls by about 30%, while the unconnected group falls by about 12%.

Economic message. The long-run figures visually summarize the paper's main result: much of the post-IPO underperformance comes from firms with bureaucratic CEOs.

Table 1

The sample

This table presents information on the sample of newly partially privatized firms in China that went public during 1993–2001. Columns 1 and 2 report the number of firms and the percentage of the total initial public offering (IPO) population. Columns 3 and 4 report numbers on the subsample of firms led by politically connected CEOs. Panel A reports the sample by year of IPO. Panel B reports the sample by industry sector.

	Total sample Number	% of the total IPO population by year/ sector	Firms with politically connected CEOs Number	% of the total sample by year/sector
<i>Panel A: By year</i>				
1993	59	47.58	9	15.25
1994	64	58.18	16	25.00
1995	12	50.00	3	25.00
1996	132	65.02	46	34.85
1997	172	83.50	46	26.74
1998	88	83.02	32	36.36
1999	80	81.63	21	26.25
2000	117	85.40	29	24.79
2001	66	83.54	9	13.64
<i>Panel B: By industry sector</i>				
Natural resources	48	78.69	19	39.58
Manufacturing	499	74.92	128	25.65
Services and trade	116	75.82	32	27.59
Public utilities	63	67.02	20	31.75
Finance & real estate	18	42.86	1	5.56
Conglomerate	46	64.79	11	23.91
Total	790	72.68	211	26.71

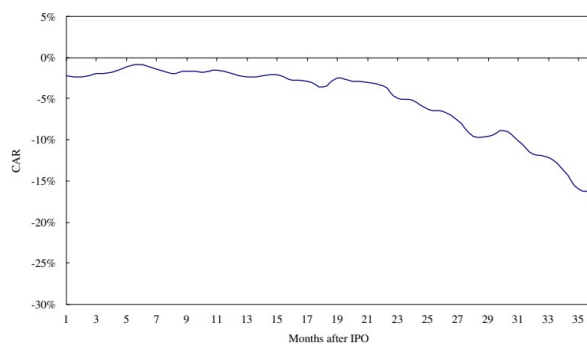


Fig. 1. Mean post-IPO cumulative market-adjusted compound stock returns (CARs) from one to 36 months after the initial trading month of 790 partially privatized firms in China that went public during 1993–2001.

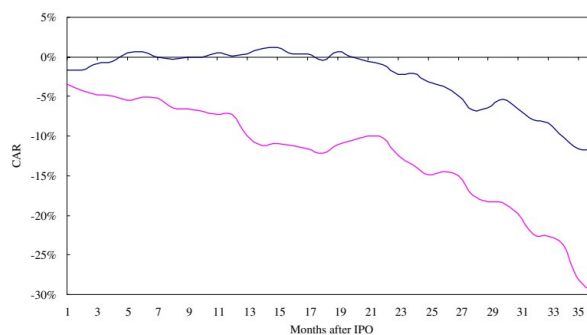


Fig. 2. Mean post-IPO cumulative market-adjusted compound stock returns (CARs) from one to 36 months after the initial trading month of 790 partially privatized firms in China that went public during 1993–2001, sorted by whether their CEOs are current or former government bureaucrats.

5.2 Tables 2–4: long-run stock and accounting performance

Read:

- Table 2 shows politically connected CEO firms have lower one-, two-, and three-year CARs than unconnected CEO firms; the mean three-year difference is -17.81%.
- The accounting differences are also negative: change in ROS is lower by 1.51 percentage points, sales growth by 27.1 percentage points, and earnings growth by 30.1 percentage points.
- Table 3 shows controlled stock-return underperformance of -0.069 after one year, -0.099 after two years, and -0.153 after three years.
- Table 4 shows controlled accounting underperformance: -0.016 for change in ROS, -0.208 for sales growth,

and -0.238 for earnings growth.

Economic message. The stock-return result is not only univariate. It remains after controlling for ownership, valuation, leverage, size, and regulation. The accounting regressions confirm that the market result reflects weaker real performance.

Table 2
Mean and median statistics of post-IPO performance measures

This table presents the mean and median values of stocks and accounting performance measures of Chinese firms that were partially privatized through IPOs during 1993–2001. The table also reports the statistics for two subsamples of firms sorted by whether or not their CEOs were politically connected. The stock performance measures are the cumulative market-adjusted stock returns (CARs) accumulated for 12, 24, and 36 months starting from one month after the IPO month. Monthly stock returns are used for calculating the CARs measures. Market returns are the equally weighted returns for all common stocks traded on the Shenzhen and Shanghai Stock Exchanges. In total, 790 firms are used for computing the CARs. The accounting return measures are the change in return on sales (ROS), sales growth, and earnings growth. The change in ROS is measured as the difference between the average annual ROS of the three years after the IPO and that of the three years before the IPO year. The sales (earnings) growth variables are the growth rates of sales (earnings) from the average annual sales (earnings) of the three years before the IPO year to that after the IPO year. Due to missing values, 774 observations are used for calculating the statistics of the change in ROS and earnings growth, while 782 observations are used for the sales growth measure. Test statistics for the differences in means and medians are provided. ***, **, and * denote significance at the 1%, 5%, and 10% level, respectively.

Performance measure	Mean				Median			
	Total sample	CEO is politically connected	CEO is not politically connected	Difference in mean	Total sample	CEO is politically connected	CEO is not politically connected	Difference in median
CAR 1 year after IPO	-1.89*	-7.31	0.07	-7.38***	-7.64***	-14.08	-4.77	-9.31***
CAR 2 years after IPO	-5.14***	-13.64	-2.04	-11.6***	-13.21***	-18.86	-11.03	-7.83***
CAR 3 years after IPO	-16.57***	-29.62	-11.81	-17.81***	-20.62***	-30.13	-17.92	-12.21***
Change in ROS	-4.23***	-5.34	-3.83	-1.51*	-1.88***	-1.98	-1.80	-0.18
Growth in sales	105.7***	85.9	113	-27.1***	70.9***	54.5	77.3	-22.8***
Growth in earnings	88.9***	66.9	97.0	-30.1**	55.6***	38.8	62.4	-23.6**

Table 3
Regression results of the effects of politically connected CEOs on the post-IPO stock performance of newly partially privatized firms in China

The dependent variable reported in this table is stock performance, measured alternately as the cumulative market-adjusted stock returns (CARs) accumulated for 12, 24, and 36 months, starting from one month after the IPO month. Monthly stock returns are used for calculating the CARs measures. Market returns are the equally weighted returns for all common stocks traded on the Shenzhen and Shanghai Stock Exchanges. The independent variables, measured upon the IPO year, include a dummy variable equal to one if the CEO is politically connected (zero otherwise), the percentage ownership of the largest owner, the market-to-book equity ratio, the leverage ratio measured as total debt over sales, the natural log of total assets, and a dummy variable equal to one if the firm is in a heavily regulated sector (natural resources, public utilities, or finance and real estate). The regressions utilize the ordinary least squares method. Absolute values of robust *t*-statistics are in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% level, respectively.

	CAR 1 year after IPO	CAR 2 years after IPO	CAR 3 years after IPO
CEO is politically connected	-0.069 (2.87)***	-0.099 (2.73)***	-0.153 (3.40)***
Largest shareholder's ownership %	-0.000 (0.14)	-0.000 (0.08)	0.001 (1.07)
Market-to-book of equity	0.109 (10.05)***	0.089 (5.21)***	0.032 (1.59)
Leverage	0.012 (0.73)	0.002 (0.07)	-0.054 (1.72)*
Log of total assets	0.049 (2.86)***	-0.049 (1.86)*	-0.133 (3.96)***
Regulated industry	0.095 (2.90)***	0.132 (2.69)***	0.196 (3.41)***
Constant	-1.330 (3.59)***	0.760 (1.35)	2.633 (3.62)***
Observations	790	790	790
Adjusted R ²	0.18	0.11	0.09

Table 4
Regression results of the effects of politically connected CEOs on the post-IPO accounting performance of newly partially privatized firms in China

The dependent variable in this table is, alternately, change in ROS, sales growth, and earnings growth. The change in ROS variable is measured as the difference between the average annual ROS of the three years after the IPO and that of the three years before the IPO. The sales (earnings) growth variables are the growth rates of sales (earnings) from the average annual sales (earnings) of the three years before the IPO year to that of the three years after the IPO year. The independent variables, measured upon the IPO year, include a dummy variable equal to one if the CEO is politically connected (zero otherwise), the percentage ownership of the largest owner, the market-to-book equity ratio, the leverage ratio measured as total debt over sales, the natural log of total assets, and a dummy variable equal to one if the firm is in a heavily regulated sector (natural resources, public utilities, or finance and real estate). The regressions utilize the ordinary least squares method. Absolute values of robust *t*-statistics are in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% level, respectively.

	Change in ROS	Growth in sales	Growth in earnings
CEO is politically connected	-0.016 (1.94)*	-0.208 (2.35)**	-0.238 (1.89)*
Largest shareholder's ownership %	0.000 (2.30)**	-0.004 (1.98)**	-0.001 (0.55)
Leverage	-0.037 (6.87)***	0.041 (0.57)	-0.209 (2.51)**
Market-to-book of equity	-0.000 (0.11)	0.306 (7.41)***	0.297 (5.97)***
Log of total assets	0.001 (0.10)	0.123 (1.96)*	-0.070 (0.79)
Regulated industry	0.017 (1.60)	0.212 (1.62)	0.716 (4.49)***
Constant	-0.052 (0.42)	-1.809 (1.33)	1.493 (0.79)
Observations	774	782	774
Adjusted R^2	0.08	0.12	0.19

5.3 Tables 5–6: robustness and types of political connections

Read:

- Table 5 splits the sample by regional GDP per capita, fiscal deficit, unemployment, and firm ROS. The politically connected CEO coefficient remains negative in all eight subsamples.
- The three-year CAR coefficient ranges from about -0.127 to -0.223 across the subsamples.
- Table 6 shows that same-region local government and central government connections have robust negative effects across the one-, two-, and three-year CAR horizons.
- Connections to local governments outside the firm's region are weaker and not significant at longer horizons.

Economic message. The effect is not confined to weak regions or weak firms. The type-of-connection results reinforce the interpretation that political control matters most when the political actor has direct jurisdiction or high authority.

Table 5
Regression results of the effects of politically connected CEOs on the post-IPO stock performance of newly partially privatized firms in China using stratified subsamples

This table reports the results of stock performance regressions on subsamples alternately stratified by firm and regional institutional factors. The sample is partitioned alternately by the sample median value of local (provincial) GDP per capita, local fiscal deficit, local unemployment rate, and firm return on sales (ROS). The values of each of the regional and firm ROS variables corresponding to an IPO firm are calculated as the three-year average values for the three years prior to the firm's IPO. The dependent variable is stock performance, measured as the three-year cumulative market-adjusted stock return (CAR). The stock returns are accumulated for 36 months, starting from one month after the IPO month. Monthly stock returns are used for calculating the CARs. Market returns are the equally weighted returns for all common stocks traded on the Shenzhen and Shanghai Stock Exchanges. The independent variables, measured upon the IPO year, include a dummy variable equal to one if the CEO is politically connected (zero otherwise), the percentage ownership of the largest owner, the market-to-book equity ratio, the leverage ratio measured as total debt over sales, the natural log of total assets, and a dummy variable equal to one if the firm is in a heavily regulated sector (natural resources, public utilities, or finance and real estate). The regressions utilize the ordinary least squares method. Absolute values of robust *t*-statistics are in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% level, respectively.

	GDP per capita		Fiscal deficit		Unemployment rate		ROS	
	Low	High	Low	High	Low	High	Low	High
CEO is politically connected	-0.149 (2.30)**	-0.223 (3.60)***	-0.135 (2.35)**	-0.127 (2.00)**	-0.152 (2.15)**	-0.147 (2.55)**	-0.132 (2.17)**	-0.185 (2.72)***
Largest shareholder's ownership %	0.001 (0.66)	0.002 (1.24)	0.002 (1.23)	0.000 (0.18)	-0.001 (0.38)	0.003 (2.13)**	-0.001 (0.46)	0.002 (1.67)*
Market-to-book of equity	0.005 (0.16)	0.068 (2.59)***	-0.001 (0.04)	0.089 (2.82)***	0.025 (0.81)	0.048 (1.68)*	0.003 (0.10)	0.069 (2.19)**
Leverage	-0.091 (1.69)*	-0.037 (0.96)	-0.094 (2.20)**	0.027 (0.57)	-0.083 (1.77)*	-0.030 (0.72)	-0.151 (3.03)***	-0.003 (0.07)
Log of total assets	-0.218 (4.40)***	-0.062 (1.47)	-0.194 (4.27)***	-0.030 (0.58)	-0.139 (2.93)***	-0.127 (2.58)**	-0.217 (4.94)***	-0.069 (1.26)
Regulated industry	0.227 (2.69)***	0.157 (1.94)*	0.407 (4.44)***	-0.036 (0.52)	0.148 (1.60)	0.208 (2.88)***	0.305 (2.51)**	0.144 (2.11)**
Constant	4.530 (4.25)***	1.000 (1.09)	3.729 (3.85)***	0.354 (0.31)	2.953 (2.86)***	2.310 (2.19)**	4.655 (4.84)***	1.044 (0.89)
Observations	389	396	390	395	392	393	391	391
Adjusted R^2	0.12	0.15	0.10	0.09	0.08	0.10	0.12	0.08

Table 6

Regression results of the effects of different types of political connections of the CEO on the post-IPO stock performance of newly partially privatized firms in China.

The dependent variable in this table is stock performance, measured alternately as the cumulative market-adjusted stock return (CAR) cumulated for 12, 24, and 36 months starting from one month after the IPO month. Monthly stock returns are used for calculating the CARs measures. Market returns are the equally weighted returns for all common stocks traded on the Shenzhen and Shanghai Stock Exchanges. The independent variables, measured upon the IPO year, include three dummy variables for political connection that equal one if alternately (1) the CEO is connected with a local government governing the firm's region, (2) the CEO is connected with the central government, and (3) the CEO is connected with a local government outside the firm's geographic region, respectively. Other variables are the percentage ownership of the largest owner, the market-to-book equity ratio, the leverage ratio measured as total debt over sales, the natural log of total assets, and a dummy variable equal to one if the firm is in a heavily regulated sector (natural resources, public utilities, or finance and real estate). The regressions utilize the ordinary least squares method. Absolute values of robust *t*-statistics are in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% level, respectively.

	CAR 1 year after IPO	CAR 2 years after IPO	CAR 3 years after IPO
CEO is connected with a local government of the same region	-0.051 (1.84)*	-0.090 (2.16)**	-0.135 (2.51)**
CEO is connected with the central government	-0.112 (1.65)*	-0.241 (2.35)**	-0.285 (2.16)**
CEO is connected with a local government of a different region	-0.084 (1.97)**	-0.056 (0.87)	-0.136 (1.64)
Largest shareholder's ownership %	-0.000 (0.14)	-0.000 (0.19)	0.001 (1.06)
Market-to-book of equity	0.108 (11.34)***	0.088 (6.07)***	0.031 (1.67)*
Leverage	0.012 (0.74)	0.002 (0.09)	-0.054 (1.73)*
Log of total assets	0.049 (2.91)***	-0.048 (1.91)*	-0.134 (4.13)***
Regulated industry	0.097 (3.16)***	0.138 (2.96)***	0.202 (3.39)***
Constant	-1.315 (3.68)***	0.753 (1.39)	2.641 (3.80)***
Observations	790	790	790
Adjusted <i>R</i> ²	0.18	0.11	0.09

5.4 Figures 3–4 and Table 7: short-term post-IPO returns

Read:

- Figure 3 shows the full sample loses almost 4% in the first 60 trading days after IPO, excluding the first day.
- Figure 4 shows politically connected CEO firms begin to underperform around days 13–14, and the gap grows to about 4.4% by day 60.
- Table 7 shows the controlled political-connection coefficient is insignificant at 20 days, significant at 40 days, and significant at 60 days.
- The 60-day coefficient is about -0.040.

Economic message. The market does not need three years to detect the political-control problem. It begins to price it almost immediately after listing.

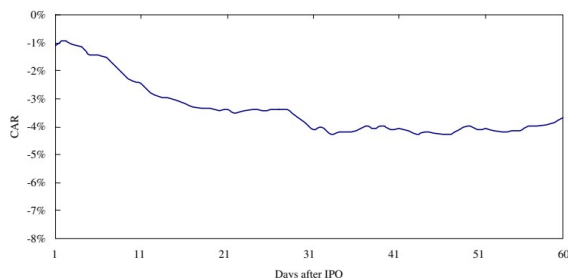
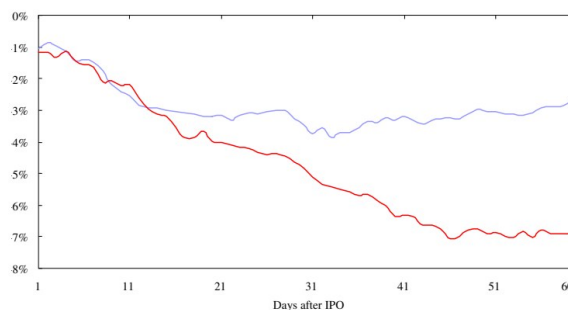


Fig. 3. Mean post-IPO cumulative market-adjusted compound stock returns (CARs) from one to 60 days after the initial trading day of 790 partially privatized firms in China that went public during 1993–2001.



4. Mean post-IPO cumulative market-adjusted compound stock returns (CARs) from one to 60 days after initial trading day of 790 partially privatized firms in China that went public during 1993–2001, sorted by her their CEOs are current or former government bureaucrats.

Table 7

Regression results of the effects of politically connected CEOs on the short-term post-IPO stock performance of newly partially privatized firms in China

The dependent variable in this table is stock performance, measured alternately as the cumulative market-adjusted stock return (CAR) accumulated for 20, 40, and 60 days, starting from the second day after the IPO day. Daily stock returns are used for calculating the CARs measures. Market returns are the equally weighted returns for all common stocks traded on the Shenzhen and Shanghai Stock Exchanges. The independent variables, measured upon the IPO year, include a dummy variable equal to one if the CEO is politically connected, the percentage ownership of the largest owner, the market-to-book equity ratio, the leverage ratio measured as total debt over sales, the natural log of total assets, and a dummy variable equal to one if the firm is in a heavily regulated sector (natural resources, public utilities, or finance and real estate). The regressions utilize the ordinary least squares method. Absolute values of robust *t*-statistics are in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% level, respectively.

	CARs 20 days after IPO	CARs 40 days after IPO	CARs 60 days after IPO
CEO is politically connected	-0.006 (0.51)	-0.025 (1.76)*	-0.040 (2.41)**
Largest shareholder's ownership %	-0.001 (3.03)***	-0.001 (2.76)***	-0.000 (1.44)
Market-to-book of equity	0.017 (3.67)***	0.027 (4.91)***	0.034 (5.29)***
Leverage	-0.005 (0.67)	-0.004 (0.38)	-0.004 (0.36)
Log of total assets	0.020 (2.47)**	0.026 (2.64)***	0.025 (2.24)**
Regulated industry	0.019 (1.30)	0.034 (1.90)*	0.040 (1.92)*
Constant	-0.461 (2.76)***	-0.616 (3.08)***	-0.653 (2.81)***
Observations	790	790	790
Adjusted R^2	0.05	0.08	0.07

5.5 Tables 8–9: IPO initial returns

Read:

- Table 8 shows very high Chinese IPO first-day returns: the full-sample mean is 241% and the median is 139%.
- Politically connected CEO firms have lower initial returns: mean 208% versus 253% for unconnected CEO firms; median 126% versus 146%.
- Table 9 shows the CEO political-connection coefficient remains negative after controls for offer-to-listing delay, ownership, exchange, issue size, industry, and year.
- The controlled coefficient is about -0.336 and significant at the 10% level.

Economic message. Lower underpricing for politically connected CEO firms suggests IPO investors anticipate the value cost of political intervention. The effect appears at the pricing stage, not only in long-run returns.

Table 8

IPO initial stock returns of China's partially privatized firms

This table reports mean and median statistics of the initial (first-day) stock returns of IPOs of partially privatized firms in China during 1993–2001. It also reports statistics for subsamples distinguished by whether or not the CEO is politically connected. The initial return of an IPO is measured as the difference between the closing stock price on the first trading day and the offering price, and then divided by the offering price. Panel A reports the full sample's initial return statistics. Panels B and C present the statistics by year and by industry sector, respectively. ***, **, and * denote level of statistical significance of difference in mean (median) initial returns between the politically connected and unconnected subsamples (1%, 5%, and 10%, respectively).

	CEO is politically connected			CEO is not politically connected			Total sample		
	Mean	Median	Number	Mean	Median	Number	Mean	Median	Number
<i>Panel A: Initial returns (%)</i>									
208*	126***	209	253	146	577	241	139	786	
<i>Panel B: Initial returns (%) by year</i>									
Year	CEO is politically connected			CEO is not politically connected			Total sample		
	Mean	Median	Number	Mean	Median	Number	Mean	Median	Number
1993	481	283	9	542	428	50	533	402	59
1994	103**	82**	15	225	155	48	196	144	63
1995	137	64	3	488	198	9	400	134	12
1996	253*	130*	45	382	169	86	338	145	131
1997	252*	130	46	231	146	126	236	139	172
1998	188	111	32	252	136	56	229	131	88
1999	123	78	21	108	100	59	112	91	80
2000	148	131	29	152	142	88	151	141	117
2001	135	111	9	147	133	55	145	130	64
<i>Panel C: Initial returns (%) by industry</i>									
Industry	CEO is politically connected			CEO is not politically connected			Total sample		
	Mean	Median	Number	Mean	Median	Number	Mean	Median	Number
Conglomerate	311	188	11	406	197	35	383	197	46
Finance & real estate	93	93	1	312	199	16	299	185	17
Manufacturing	210	121**	127	223	141	370	220	136	497
Natural resources	186	104	19	228	133	29	211	126	48
Services and trade	207	104	31	310	170	84	282	152	115
Public utilities	162	109	20	274	138	43	238	120	63

Table 9

Regression results of the effects of politically connected CEOs on the initial stock returns of partially privatized firms in China

The dependent variable in this table is the initial return measured as the difference between the closing stock price on the first trading day and the offering price, and then divided by the offering price. The independent variables include a dummy variable equal to one if the CEO is politically connected, the natural logarithm of the number of days between the offering and listing date, the percentage ownership of the largest owner, a dummy variable equal to one if the company is listed on the Shanghai Stock Exchange and the natural logarithm of the number of shares issued. Dummy variables that proxy for industry and year effects are also included in the model but are not reported. The regressions utilize the ordinary least squares method. Absolute values of robust *t*-statistics are in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% level, respectively.

	Model (1)	Model (2)
CEO is politically connected	−0.483 (2.11)**	−0.336 (1.67)*
Days between offering and listing date		1.975 (9.22)***
Largest shareholder's ownership %		−0.011 (2.62)***
Listed in Shanghai Stock Exchange		−0.291 (1.38)
Number of shares issued		−1.266 (10.28)***
Constant	2.055 (4.73)***	16.110 (11.47)***
Observations	786	786
Adjusted <i>R</i> ²	0.13	0.34

5.6 Tables 10–11: board structure and CEO political connections

Read:

- Table 10 shows a typical board has about nine directors, 23.76% current or former government bureaucrats, and 43.48% professionals.
- Politically connected CEO firms have more bureaucrats on the board: 36.22% versus 19.22%.
- They have fewer professionals: 33.89% versus 46.98%; fewer academics; fewer women; and older directors.
- Table 11 shows Poisson regressions confirm these patterns: political CEOs are associated with more bureaucrat directors and fewer professional directors, especially fewer directors with academic backgrounds.

Economic message. The board evidence is the governance channel. Politically connected CEOs are not counterbalanced by stronger professional boards; instead, their boards appear more bureaucratic and less professionally independent.

Table 10
 Characteristics of the boards of directors of the newly partially privatized firms in China

This table reports the mean and median statistics of the board characteristics of 790 newly partially privatized firms that went public in China during 1993-2001. The table also reports the statistics for two subsamples of firms sorted by whether or not their CEOs are politically connected. Director education level is a score ranging between 0 and 4: 4 equals a doctoral degree, 3 a master's degree, 2 a university degree, 1 a junior college degree, and 0 below junior college. The definitions of the other variables are given in Appendix A. Test statistics of the differences in the mean and median are provided. ***, **, and * denote levels of statistical significance of the difference in mean and median (1%, 5%, and 10%, respectively).

Board characteristics	Mean				Median			
	Total sample	CEO is politically connected	CEO is not politically connected	Difference between mean	Total sample	CEO is politically connected	CEO is not politically connected	Difference between median
Board size	9.18	9.01	9.25	-0.23	9.00	9.00	9.00	0.00
Percentage of directors who are								
Senior managers	33.03	32.75	33.13	-0.37	30.00	33.33	28.57	4.76
Current or ex-government bureaucrats	23.76	36.22	19.22	17.00***	22.22	36.36	14.29	22.08***
Professionals	43.48	33.89	46.98	-13.09***	37.50	27.27	42.86	-15.58***
With non-affiliated business experience	5.73	5.04	5.98	-0.94	0.00	0.00	0.00	0.00
With accounting, law, or finance background	23.91	20.99	24.98	-3.98***	20.00	16.67	20.00	-3.33***
With academic background	13.84	7.86	16.01	-8.15***	9.09	0.00	9.09	-9.09***
Women	5.89	4.63	6.34	-1.71***	0.00	0.00	0.00	0.00***
Director age	46.98	47.46	46.81	0.65***	46.91	47.63	46.60	1.03***
Director education level	1.62	1.63	1.62	0.01	1.64	1.67	1.62	0.05

Table 11
 Regression results of the relations between board characteristics and CEO political connections

This table presents the results of Poisson regressions of the board structures of 790 newly partially privatized firms upon their going public in China during 1993-2001. The dependent variable of the regressions reported in columns 1, 2, 3, 4a through 4c, and 6 is the number of directors in the category. Director education level is a score ranging between 0 and 4: 4 equals a doctoral degree, 3 a master's degree, 2 a university degree, 1 a junior college degree, and 0 below junior college. Director age is the average age of the directors on the board. The independent variables in the regressions include board size measured as the total number of directors on the board, the largest shareholder's ownership percentage, return on sales, leverage measured as total debt divided by sales, log of total assets, and a regulatory industry dummy variable equal to one if the firm is in a heavily regulated sector (natural resources, public utilities, or finance and real estate). Absolute values of *t*-statistics are in parentheses. ***, **, and * denote significance at the 1%, 5%, and 10% level, respectively.

	Current or former government bureaucrats	Senior managers	Professionals	Professionals with accounting, law, or finance background	Professionals with non-affiliated business experience	Professional with academic background	Director education level	Director age	Female directors
	(1)	(2)	(3)	(4a)	(4b)	(4c)	(4)	(5)	(6)
CEO is politically connected	0.602 (12.01)***	-0.039 (0.64)	-0.231 (5.16)***	-0.105 (0.88)	-0.029 (0.50)	-0.669 (7.58)***	0.005 (0.22)	0.013 (3.22)***	-0.234 (1.91)*
Board size	0.106 (12.54)***	0.105 (14.72)***	0.095 (15.24)***	0.118 (7.20)***	0.092 (10.70)***	0.003 (8.42)***	0.096 (29.86)***	0.099 (165.55)***	0.081 (4.72)***
Largest shareholder's ownership %	-0.001 (0.50)	-0.000 (0.50)	-0.000 (0.53)	-0.003 (1.30)	-0.002 (1.30)	0.003 (1.76)*	0.000 (0.99)	0.000 (0.50)	0.001 (0.55)
ROS	-0.023 (0.43)	0.011 (0.23)	0.041 (1.24)	0.011 (0.34)	-0.201 (1.49)	0.114 (2.86)**	0.043 (2.41)**	0.013 (3.43)***	-0.052 (0.36)
Market-to-book value of equity	-0.002 (0.09)	-0.019 (0.99)	0.041 (2.50)**	0.007 (0.15)	0.021 (0.84)	0.099 (3.63)***	0.003 (0.32)	-0.004 (2.63)***	0.018 (0.39)
Leverage	0.119 (3.25)***	-0.044 (1.24)	0.049 (1.70)*	0.060 (0.92)	0.076 (1.82)*	0.028 (0.56)	-0.017 (1.10)	0.000 (0.01)	0.031 (0.30)
Log of total assets	-0.027 (0.72)	-0.003 (0.09)	-0.005 (1.85)*	-0.115 (4.44)	-0.137 (3.27)***	0.180 (2.00)**	0.036 (2.46)**	0.007 (2.70)***	-0.134 (1.65)*
Regulated industry	0.154 (2.55)***	-0.115 (1.88)*	0.011 (0.22)	0.178 (1.36)	-0.018 (0.26)	0.015 (0.17)	-0.023 (0.88)	-0.014 (2.54)**	-0.015 (0.11)
Constant	-1.039 (1.35)	0.318 (0.47)	1.450 (2.40)**	1.023 (0.63)	2.309 (2.55)***	-3.117 (3.04)***	0.964 (3.18)***	4.548 (87.74)***	1.445 (0.87)
Observations	790	790	790	790	790	790	790	790	790
Pseudo R ²	0.11	0.08	0.11	0.06	0.11	0.07	0.17	0.75	0.04

6 Short summary

- China partially privatized many SOEs, but retained key control rights: CEO appointments, non-transferable state ownership, and influence over major assets.
- The paper hand-codes CEO political ties and board characteristics from IPO prospectuses for 790 A-share IPO firms; about 27% of CEOs are politically connected.
- Politically connected CEO firms perform worse after IPO: controlled CAR underperformance reaches about 15% by three years, and accounting outcomes are weaker.
- The negative effect appears quickly: the 60-day CAR coefficient is about -4%, and IPO initial returns are lower for politically connected CEO firms.
- The governance channel is visible in boards: political CEOs are associated with more bureaucrat directors and fewer professional directors.
- Robustness checks split by regional and pre-IPO firm conditions; the main negative stock-performance result remains.

7 Conclusion

7.1 Core conclusion

Politically connected CEOs are associated with poorer post-IPO stock returns, weaker accounting performance, lower IPO initial returns, and less professional boards among newly partially privatized Chinese firms.

7.2 Economic intuition

Privatization changes ownership claims, but it does not automatically change control rights. If the state retains appointment power and non-transferable ownership blocks, bureaucrats can continue to influence corporate decisions. That influence may pursue political or private objectives rather than shareholder value.

7.3 Takeaway

The paper's lesson is not simply that political connections are always bad. The sharper point is institutional: when political connections reflect continuing government control in a weak-property-rights environment, they can undermine the benefits of privatization.